

Chinese Property Companies: Earning Rent in Renminbi

June 2010

In our previous commentary on China, attention was called to the country's undervalued currency, its rising urban population, increased demand for electrical power, life insurance, transportation services, mobile phones and the underrepresentation of Chinese companies in world equity indexes. It was noted that studies on purchasing power parity ("PPP") suggest that the Chinese renminbi may be undervalued by 30 to 50 percent relative to the dollar, depending on the method of calculation.¹ Therefore, if the value of the renminbi were to rise relative to that of the dollar, a U.S. investor holding Chinese securities would experience positive returns, even if the local share price were to remain unchanged. Chinese property companies offer an opportunity for investors to take advantage of this situation.

Chinese property may well be in its own bubble, but there's another dimension to this industry that can be related to the European crisis, the euro and even the U.S. dollar, to a degree. An element of the current European crisis is that the euro is viewed as a flawed currency, because it is the common currency of the members of the European Union, and there are some countries within the EU that may not be able to pay their bills. Historically, when nations find themselves in that position, they have often resorted to monetizing their own debt by printing money, which has deflated the value of their currencies. Awareness of that practice is one of the reasons that the euro is declining. There are many who assert that the same may happen to the dollar one day, since the U.S. has a large debt balance as well.

When currencies decline in value, they must do so in relation to other currencies. If the euro and the dollar were viewed as flawed currencies, they would depreciate against another currency or currencies. Perhaps they would decline against the yen. However, even the yen may fall into the flawed currency category, because the Japanese debt to GDP ratio is very high. If these major currencies are viewed as flawed, it seems likely that the Chinese currency would rise in relation to them.

If an investor seeks currency protection from the possible rise of the renminbi against other major currencies, investment in Chinese companies that are export-oriented would not serve the purpose, because their income streams are related to the currency of their trade partners. The value of income in those currencies would rise and fall along with the value of those currencies. Therefore, if one seeks protection for the value of one's currency, it would seem logical to seek investments in the Chinese renminbi. However, while it is possible to invest directly in the renminbi, the longest-dated futures contracts available on the CME are for December 2011. Therefore, if one desired longer-term exposure

¹ Purchasing power parity is a concept based on the law of one price, which states that exchange rates should equilibrate to reflect the consistent pricing of identical goods across different markets. According to a paper published by the Peterson Institute for International Economics (Number PB10-8), the renminbi is undervalued, on a purchasing power parity basis, by 30 percent as of the end of March 2010. According to the Big Mac index, the renminbi is undervalued by approximately 50 percent as of December 2009. Our own work has suggested a disparity of even greater magnitude. *The Economist* magazine originated the Big Mac index as a humorous, but relevant, measure of purchasing power parity. The index compares the price of a McDonald's Big Mac hamburger across the 120 countries in which it is sold, and uses those figures to measure the disparity in the purchasing power of the various currencies of those countries.

and wished to avoid managing the futures contract roll, Chinese property companies offer a less expensive method of gaining currency protection.

Depending upon one's point of view, Chinese property may or may not be overvalued, but one can say without fear of contradiction that they cannot be exported. The rental income generated from those assets represents an earnings stream in Chinese currency. As stated above, the value of a currency can only be measured against another currency. If China were to lessen its currency controls and allow the renminbi to rise in value, and if the euro, dollar and yen continue to weaken, it seems logical that they would weaken against the rising strength of the renminbi. A stronger renminbi would mean that the value of an investment in Chinese property companies would increase in dollar terms.

The popularity of the notion that Chinese real estate is overvalued can be confirmed by a Google search along the lines of "Chinese Property Bubble," which produced over 1.4 million results on June 9, 2010. But one should be careful not to equate Chinese property as being synonymous with Chinese property *companies*. Between the two stand the shares that represent ownership of the property, and the price of those shares is dictated, moment to moment, by public market investors. Consequently, even if Chinese real estate itself is overvalued, the property companies that own it might or might not be overvalued, depending upon the impact of investors. Lately, there has been extensive media coverage on China real estate valuations. Let's suppose that this coverage is valid and that real estate is overvalued by 15 percent. As owned through the shares, though, that property might or might not be overvalued. What if the property companies are undervalued by 25 percent? It is the equilibration of those values over time that will, in large measure, determine the returns on an investment in Chinese property companies.

That the market appears to be skeptical of Chinese real estate can be seen in the price-to-book value ratios for the major Chinese property companies listed below. Each of these ten companies trades at a discount to book value, some at extraordinary discounts. (Moreover, these companies often own substantial quantities of cash and other operating assets, such as electric utility or port and ferry operations, such that the discount effectively applied to the underlying real estate is actually far greater than suggested by the figures in the table below.) Property values in China are appraised every year, and the appraised values are reflected on the company balance sheets. This approach differs from U.S. GAAP, under which real estate is held at cost, net of depreciation. The most recent appraisals for Chinese property would have occurred at the end of 2009. While these might represent the market values as they existed at that time, those values may not be applicable today or in some number of months. We believe that all of the companies on the list have sensibly arranged balance sheets, none are heavily leveraged and all appear to have adequate balance sheet liquidity.

Chinese Property Shares

	<u>Price-to-Book²</u>
Wharf Holdings (4 HK)	0.85x
Henderson Land (12 HK)	0.79x
Hang Lung (10 HK)	0.70x
Wheelock (20 HK)	0.30x
Chinese Estates (127 HK)	0.67x
Hong Kong & Shanghai Hotels (45 HK)	0.82x
Shanghai Forte Land (2337 HK)	0.77x
New World China Land (917 HK)	0.43x
Miramar Hotels (71 HK)	0.63x
Hong Kong Ferry (50 HK)	0.58x

Source: Bloomberg

Many of these companies, which have a history of creating real estate wealth in Hong Kong, are currently engaged in activities that indicate that their views on the future value of property in China are the exact opposite of those propounded by the media on a daily basis. For example, Hong Kong & Shanghai Hotels, which has been managed by the same founding family for 149 years, is repurchasing its shares. New World China Land is buying out its minority holders in various real estate projects in China. Chinese Estates intends to repurchase shares in an interesting manner. The company is run by Mr. Joseph Lau, and it is his personal holding company that will be buying the shares. Wheelock, which was founded over 150 years ago, is interested in buying out its real estate subsidiary called Wheelock Properties (49 HK). Time will tell whether it is such highly informed principal insiders or public investors who have best assessed this circumstance.

The market is discounting a very significant decline in the appraised value of Chinese real estate, but appears to pay no attention to the possibility that the publicly traded property companies may be undervalued. Perhaps that low valuation results from a self-referencing process in which investors' assessments are based on the assessments of other investors, or even of the media, rather than on the fundamentals of the companies. If one accepts the proposition that the global nature of economies

² The book values are based on the most recent market value of the real estate, not on historical cost. Prices are as of June 9, 2010.

today translates into passive exposure to China whether or not one is actively invested in Chinese companies, then might one not wish to have an active say in how one is exposed, and to focus on companies that will experience the benefit of future currency appreciation?

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